

removing much of the uncertainty. Typically, simply being well informed lets investors sleep better at night.

The standard deviation of returns draws from the statistics of normal bell curves. If the average value, or mean, of a bell curve is 10 and its standard deviation is 5, then 68 percent of the time a randomly chosen entity from the sample will fall between 5 and 15. Five is one standard deviation to the left of 10, and 15 is one standard deviation to the right of 10. Due to the way normal curves work, 95 percent of the time a random sample will fall within 2 standard deviations of the mean, so between 0 and 20 for our example. This is illustrated in Figure 6.1.